LFB HOLDINGS

Decision Distortion Assessment Reports

BASE REPORT

Your Decision Distortion Assessment — Noise Is Your Dominant Force

Your assessment is in. Of the four forces that bend organizational judgment under pressure, noise is showing up most actively in your company right now. That's worth understanding clearly, because noise is the one force that rarely feels like a problem from inside the organization experiencing it.

Of the four forces — noise, bias, accumulation, and incentive misalignment — noise is the most distributed. Bias pushes judgment in a consistent direction; accumulation builds across decisions over time; incentives govern how fast either compounds. Noise operates differently: it scatters conclusions across people and moments, turning the same information into different answers depending on who's in the room and when. The damage isn't a single wrong call. It's the erosion of the organization's ability to reach reliable ones.

What noise is

Noise is unwanted variability in judgment — the same information producing different conclusions, even from the same people, depending on who's in the room and when the conversation happens. It is not disagreement. Disagreement is two people with different views on the same facts. Noise is two people — or the same person on different occasions — reaching different conclusions from identical inputs with no principled reason for the divergence.

Two forms operate differently. Level noise is consistent differences between evaluators — one executive is reliably more optimistic, another reliably more conservative, not because of the data but because of who they are. Pattern noise is more disruptive: different people weighting different features of the same situation, so the team isn't actually evaluating the same thing even when it believes it is. Both produce the same visible symptom — inconsistent conclusions — from different mechanisms, and they require different responses.

In a venture-backed company operating under pressure, noise turns reliable signals into organizational static at exactly the moment you can least afford it.

How it typically shows up

A company's Monday product review looks at usage data and reads it as evidence that the product is working. Thursday, different meeting, different attendees, same data — the conclusion is that it's too early to tell. No one notices that the company has given two answers to one question in a single week. Three weeks of roadmap paralysis follow. From outside, it looks like weak demand signal. From inside, it feels like a hard call in an ambiguous market. What actually happened: unstable evaluation standards converted a real signal into noise before anyone made a decision.

That's the mechanism. The data wasn't the problem. The absence of shared standards for reading the data was.

Where your assessment is pointing most clearly within noise is on decision coherence — specifically, what happens in the hours and days after a major call is made. The question your assessment flagged is whether the people who were in the room would describe the decision the same way if asked independently. When they wouldn't, the decision wasn't actually made — a conversation happened, and different people left with different conclusions about what it meant. This matters because execution follows the decision each person thought was made, not the decision that was intended. Misaligned execution driven by post-decision noise is one of the most common sources of organizational friction that never gets correctly attributed. The fix is simple and uncomfortable: at the close of significant decisions, someone reads back the decision as made — including what was considered and rejected — and the room confirms or corrects it before anyone leaves.

Where to start

The first intervention is a decision readback before anyone leaves the room. At the close of every significant decision, one person — rotating, not permanently assigned — reads back the decision as made, including what was considered and rejected and what was explicitly set aside for later. The room confirms or corrects before the meeting ends. This is uncomfortable the first few times and becomes routine quickly. The discomfort is the point: it surfaces the divergence while the room is still assembled rather than after execution has already split in three directions.

The second is a written decision record sent within 24 hours. Not meeting minutes — a single document that states what was decided, what it does not include, and what the next decision point is. Distributed to everyone in the room. This closes the gap between what people heard and what was said, and creates a reference point that execution can be held against when the inevitable "I thought we decided..." conversation happens three weeks later.

The research behind this

The academic foundation for what your assessment detected comes primarily from Noise: A Flaw in Human Judgment by Daniel Kahneman, Olivier Sibony, and Cass Sunstein — the most rigorous account of how uncontrolled variability in judgment operates across organizations, and why it causes more total decision error than most leaders realize. The finding that organizations routinely underestimate their own noise levels — and that the errors don't cancel out, they accumulate — is directly applicable to what your scores are showing.

What's next

The full Decision Distortion whitepaper from LFB Holdings walks through how noise combines with the other three forces — bias, accumulation, and incentive misalignment — and how to locate the specific points in your decision process where a single closed gap would have the greatest effect.

If you'd like to talk through what your results mean for your company specifically, we're glad to do that.

LFB Holdings: lfbholdings.com

For ongoing case-by-case analysis of how these forces operate in real organizational decisions, Bad Call is a subscription brief that applies this framework to actual decision sequences — company autopsies, one at a time.

Bad Call: badcall.ai